

General Instruction

- i. The submission date will be on date of final examination which is Saturday September 16, 2023 on 4pm
- ii. Copying the assignment from one another will nullify your result
- iii. Neatness and clarity has got positive impact upon your result
- iv. Any submission after the deadline won't be considered
- v. Submission will be made through your class representative, Be'amlak.

Part Two: Discussion Questions

1. Explain the difference between Public goods and Private goods
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3. The subject matter of public finance is divided in to five major divisions. List and discuss them.
4. Think about the link between tax and tax objectives. Is there a clear link? Does this link help taxpayers to make sensible decisions?
5. During the month of Tikimt 2002, the government highly increases the employment income tax rate, what would be the effect on production?
6. Assume that A's income is Br.5,000 and B's income is Br.3,000 and both are taxed at the rate of 10%. What would be the effect on distribution of income?
7. What is taxation? State any three of its objectives
8. Can indirect taxes be called consumption taxes? Why?
9. Times of Depression, what will be the measure taken by the government from the perspective of public expenditure to alleviate the problem.
10. Of budget deficit and budget surplus, which of the two are preferred by the government and why?
11. Why the State (government) generally borrows from the people?
12. What are the factors on which revenue sharing in Ethiopia is based?

Part Two: Work out Questions

1. Mr. Binda is a tax accountant of Topiced Company. His basic salary is Br.4, 200 for 160 normal working hours. He worked 186 hours during the month of Meskerem, 2002. All overtime work is done on employee rest days. The employee is entitled to receive Br.500 monthly transportation allowance as per the employment contract. Mr. Binda contributes 10% of his basic salary to provident fund and the employer contributes 18% of his basic salary to the same fund.
Required: - What is Mr. Binda's income tax payable based on Ethiopian Income Tax laws?
2. The following income statement is submitted by ABC metal works enterprise (in brief) on Sene 30, 2010.

ABC metal works Enterprise
Income statement
Year ended Sene 30, 2010

Sales

1157894

Cost of goods sold	1064218
Direct cost of production	<u>27753</u>
Gross profit	65923
Operating expenses	<u>27002</u>
Profit before tax	<u>38921</u>

On assessment, the tax office revealed the following points

- I. Depreciation expense was over allocated by Birr230.
- II. Capital expenditure of Birr 8580 was wrongly recorded in the income statement. Depreciation on this asset was Birr 715, not recorded in the income statement
- III. Miscellaneous expenses include Birr 768 without any source document
- IV. Donations of Birr 200, penalty of Birr 80, and salary of proprietor Birr 580 were recorded in the income statement.
- V. 25% of the telephone expenses (expense totaled Birr 552) were incurred for personal purposes.

Required: - Compute the taxable income as per the income tax regulation, and determine the tax liability.

3. On Meskerem 1, 1996, ABC Traders gave one of its buildings for a monthly rent of Birr 60000. The lessor gives the following information regarding the lease.

Tax on land and building	Birr	3200
Cost of Building		420000
Insurance (annual) on the building		1100
Repairs and maintenance incurred		800

The lessor keeps proper record of all information and the tax office accepts the records

Required: Compute the amount of rental income tax payable by the lessor for the year ended Sene 30, 1996

4. Dashen Brewery incurred the following manufacturing costs to produce 5,020,000 bottles of Dashen beer in the month of Sene, 1999 E.C. There has been no beginning or ending inventories (raw materials, work-in-process and finished goods) in the factory in the month of Sene, 1999. 8% of the factory overhead costs are depreciation of factory and the manufacturing costs are as follows:

▪ Direct materials	Br.200,000
▪ Direct labor	200,000
▪ Factory overhead	220,000

Required:- Determine how much excise tax Dashen Brewery will pay for Sene, 1999 production. If the selling price determined by the management is Birr 600,000.00

5. Binda Company is a registered VAT payer to the Ethiopian Revenues and Customs Commission head office. The following data were taken from Binda's records from the month of Hidar, 1999.

- Binda Company made sales of Br.406,726.55, on which the company collected Br.61,008.98 VAT (15% of sales).
- Binda Company purchased the following items during the month:
- Zero-rated goods for Br.75,000.00.
- VAT commodity for Br.9,332.53, on which the company paid Br.1,399.88 VAT.
- Goods with no VAT for Br.21,622.30.
- Binda Company paid Br.5,940.00 for general expenses during the month.
- Credit carried forward from the month of Tikimt, 1999 was Br.34,375.68.

Required:-

- a) Determine the amount of net VAT payable during the month of Hidar, 1999.
- b) When should Binda Company file the payment to the tax commission ?